

Methodology Notes — TCS Financial & Operating Performance Analysis

1. Data source and coverage

The report uses the supplied TCS quarterly financial and operating data workbook. Financial analysis covers **1Q FY2011 to 1Q FY2027**. Some operating and geographic metrics have shorter histories.

2. Fiscal calendar

TCS's financial year runs from **April to March**. For example, **1Q FY2027** represents April–June 2026. All comparisons follow this fiscal calendar.

3. Data preparation

Power Query was used to clean labels, standardize data types, convert quarterly columns into rows, and combine historical and recent records. Metric names were aligned where their definitions were comparable.

4. Units and financial basis

Financial amounts are presented in **₹ crore**, unless stated otherwise. Historical monetary figures in ₹ million were divided by 10. EPS and dividends remain in ₹ per share; headcount represents employees. Periods marked **EX-ADJ** follow the source's exclusion of exceptional items. This basis also carries into comparisons and scenarios.

5. Data model

Separate financial, operating, and geography fact tables connect to shared quarter and relevant metric dimensions. These relationships support consistent filtering across the report.

6. Key calculations

Metric	Calculation or meaning
YoY growth	Percentage change against the matching prior-year period
QoQ growth	Percentage change against the previous quarter
Operating margin	Operating profit ÷ revenue
Margin change	Current margin minus comparison margin, expressed in percentage points
Revenue TTM	Revenue across four consecutive quarters ending in the selected quarter
Incremental operating margin	Change in operating profit ÷ change in revenue
Revenue per employee	Period revenue ÷ average headcount; a revenue-based workforce indicator

Multi-quarter comparisons use matching prior-year quarters. Period operating margin is calculated from total profit divided by total revenue, rather than a simple average of quarterly margins.

7. Profit-change analysis

Operating profit changes are separated into two arithmetic contributions:

- **Revenue effect:** Revenue change × prior-year operating margin.
- **Margin effect:** Current revenue × change in operating margin.

Together, these explain the operating profit change. They do not establish the underlying business causes.

8. Geography analysis

Regional revenue shares and constant-currency growth use the supplied operating data. **Contracting market exposure** represents the revenue share of regions with negative constant-currency YoY growth. Revenue share and growth are different measures; regional growth rates should not be added together.

9. Scenario analysis

Scenarios apply user-selected percentage changes independently to base-quarter revenue, employee costs, and other operating costs.

Scenario operating profit = Scenario revenue – Scenario employee costs – Scenario other operating costs.

These calculations illustrate sensitivity. They do not automatically model relationships between demand, staffing, costs, tax, or cash flow and should not be interpreted as forecasts.

10. Missing data and limitations

Unavailable or discontinued values remain blank rather than being replaced with zero. Historical classification changes can limit detailed comparisons. Revenue per employee can change because of pricing, currency, service mix, or staffing; it is not a direct measure of employee productivity.

11. Interpretation and updates

Dynamic commentary highlights patterns and suggests areas for investigation. It does not confirm causes or guarantee future results. The report reflects the supplied workbook and is not a live financial feed.

Independent portfolio project using TCS real data.